

“Public Funds, Public Trust” Data Protection Act

To: Chairman James Comer; The House Committee on Oversight and Accountability

Problem Statement

Massive amounts of personal data are collected by organizations receiving public funding—from universities and hospitals to social service agencies. Many of these entities share or sell this data to third parties for marketing, analytics, or other commercial purposes, often without explicit consent. This practice undermines public trust, jeopardizes individual privacy, and can expose citizens to identity theft or targeted exploitation. Existing regulations and enforcement mechanisms are fragmented, leaving significant gaps in data protection where taxpayer dollars are involved. The lack of a single, comprehensive federal data-privacy law (comparable to the EU’s General Data Protection Regulation, GDPR) means enforcement is fragmented among various agencies (FTC, HHS, Education, etc.).

Proposed Solution

The “Public Funds, Public Trust” Data Protection Act would prohibit any organization (public or private) that receives government grants, contracts, or subsidies from sharing personally identifiable information with third parties for non-essential purposes. Exemptions would allow necessary data transfers for law enforcement, public health reporting, or academic research under Institutional Review Board (IRB) protocols, provided that personal identifiers are anonymized when feasible. Enforcement would rest with the agencies distributing funds (e.g., Departments of Education, Health and Human Services), in coordination with the Department of Justice. Violations could lead to suspension of funding, monetary penalties, and mandatory remedial measures. Regular compliance reports would be submitted to the House Committee on Oversight and Accountability to ensure transparency and accountability.

Major Obstacles/Implementation Challenges

1. **Industry Resistance:** Organizations reliant on third-party data partnerships for revenue or operational support may push back against restrictions that cut off data-sharing opportunities.
2. **Complex Enforcement:** Multiple federal agencies overseeing diverse funding streams must coordinate consistently, risking uneven application.
3. **Existing Legal Conflicts:** Current data-sharing statutes may need reform or repeal to align with the new act’s requirements.
4. **Resource Demands:** Effective oversight requires agencies to have the budget and workforce to monitor compliance, investigate violations, and conduct audits.
5. **Technological Variability:** Not all entities have the technical capacity to anonymize data or securely store it, necessitating upgrades.
6. **Intergovernmental Tensions:** State and local entities receiving federal funds may challenge the policy’s reach, raising questions of federal overreach and potential legal battles.